

Al Qeema Al Thonaia Contract

1. Contract Overview

- Type: Subcontract (Lump Sum Basis)
- Total Value: KWD 77,623
- Duration: 90 days
- Scope: Casting, Supply, Execution, Completion, Maintenance, and Warranty for Precast Concrete Works for 3 KNPC Petrol Filling Stations.
- Contract Relationship: Back-to-Back with Main KNPC Contract No. LM/CPC/4448.

2. Key Risk Areas & Analysis

Category	Risk Description	Impact Level	Mitigation
Financial Risk	Back-to-back payment terms expose RECAFCO to delayed cashflow.	High	Negotiate milestone payments or escrow account.
Performance/Delay Risk	0.5% daily liquidated damages (up to 10%).	High	Limit LDs to subcontractor-caused delays.
Legal/Termination	7-day termination without clear cure rights.	High	Add 21-day cure period and termination review clause.
Indemnity & Liability	Unlimited indemnity to Contractor including third-party risks.	High	Cap indemnity to insured value or contract price.
Insurance	Failure to maintain coverage leads to 0.5% deduction.	Medium	Align with main contract policies; confirm approvals early.
Operational & Scope	All-inclusive, no exclusions.	Medium	List exclusions; define design responsibilities clearly.

4. Recommendations

1. Negotiate independent payment milestones not tied entirely to KNPC’s disbursements.
2. Clarify variation procedures and require written approvals.
3. Limit LD exposure to subcontractor-caused delays only.
4. Add fair termination clauses with longer cure periods.
5. Cap indemnities and ensure insurance covers all major risks.
6. Use arbitration (e.g., ICC Kuwait) for dispute resolution efficiency.
7. Maintain detailed documentation and approvals for all deliverables.